DEAL INTELLIGENCE

A Hospital Sold a Vacant Building. Here's What the Buyer Had to Believe.

Kings Capital's $30.1M FiDi acquisition reveals the math behind conversion bets when tax breaks are off the table.

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A source-grounded Light Tower Insight. The complete note follows.

New York Presbyterian Hospital sold a building it stopped using nearly a decade ago. The buyer, Kings Capital, paid $30.1 million for 69 Gold Street, a 17-story shell in the Financial District. The hospital got liquidity. Kings Capital got a basis.

The more revealing number is the one that follows: Kings Capital is nearing a $41 million construction loan from Derby Copeland. Total project cost: $60 million. That math means the developer is underwriting a roughly $71 million all-in basis on a 108-unit market-rate rental building with no tax exemptions.

No 485x. No abatement. No subsidy. Just the rent roll and the debt service.

This is the kind of deal that looks like a simple acquisition and reads like a spreadsheet full of assumptions that had better hold. The hospital wanted out of a vacant asset. Kings Capital wanted a conversion play at a price that left room for the hard part: building 108 units of market-rate housing in Manhattan without a single tax break.

The building has been empty since roughly 2016. New York Presbyterian once used it for staff housing. In 2015, it filed renovation plans that never finished. The units were gutted. What Kings Capital bought is essentially a vertical shell: structure, bones, and a location two blocks from the Brooklyn Bridge and the East River.

The seller set the price at $42.5 million in 2024. A different buyer, Moti Haber, went under contract first and failed to close. Kings Capital stepped in as the next highest bidder. The deal took nearly two years to finalize. That timeline alone tells you something about the gap between asking price and clearing price, and about the patience required to bridge it.

Kings Capital is not a household name. Founded in 2015, it has been active in mid-market Manhattan acquisitions, including a $21 million SoHo purchase last year. This is a bigger bet. The firm is led by George Giannopoulos and Jeffrey Znaty. Giannopoulos credited the deal to vision, teamwork, persistence, and blessings from above. The credit committee at Derby Copeland likely relied on something more specific: a rent projection, a construction budget, and a basis that made the math work without a tax exemption.

That last part is the most interesting. Most conversion deals in New York lean on 485x or similar programs to close the gap between construction cost and achievable rent. Kings Capital is forgoing that. It is betting that 108 market-rate units in FiDi, with a rooftop view of the East River and Brooklyn Bridge, can generate enough income to service a $41 million construction loan and return equity on a $30.1 million land basis.

The hospital's real estate arm, Royal Charter Properties, includes heavyweights like Related's Bruce Beal and Harrison Lefrak on its board. They hired Cushman & Wakefield to list the building. They watched the first buyer fall out. They waited. They got $30.1 million. That is $12.4 million below the original ask. The discount is not a mark of distress. It is a mark of reality: a vacant shell with no income, no tax benefits, and a conversion timeline has a specific bid, and that bid was $30.1 million.

For lenders watching the conversion space, this deal offers a clean data point. Derby Copeland is providing construction financing on a project with no tax-exempt component. That means the underwriting is purely on the projected stabilized NOI. No subsidy cushion. No public program to blame if the rents don't materialize. The lender is betting on FiDi's residential demand, Kings Capital's execution, and a basis that leaves enough margin for error.

For owners of vacant or underutilized buildings in Manhattan, the signal is more uncomfortable. The hospital sold at a 29% discount to its 2024 ask. The buyer that closed was not the first buyer. The deal took two years. And the new owner is building market-rate units without a tax break, which means the rent assumptions had better be right.

The market is not rewarding the story of conversion. It is rewarding the math of conversion at the right basis. Kings Capital found that basis at $30.1 million. The hospital found liquidity. Derby Copeland found a loan it could underwrite. Everyone got what they needed, but only after the price adjusted to what the numbers actually supported.

SOURCES

— The Real Deal — https://therealdeal.com/new-york/2026/07/23/kings-capital-buys-vacant-fidi-building/

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